

after the 31st December, 1881, and subject to any stipulation to the contrary, the right of consolidating separate mortgages of different properties is taken away.]

But a *charge under the Improvement of Land Act, 1864*, is declared by the Act not to be deemed such an incumbrance as to preclude trustees of money, with power to invest the same in the purchase of land or on mortgage, from investing it upon land so charged, unless the terms of the trust or power expressly provide that the security to be so taken shall not be subject to any prior charge (*d*).

[*331] * 65. **Equitable mortgages.** — An investment upon a *deposit* of title deeds has this advantage over a second mortgage, that it would be difficult for the mortgagor to deal with the property in the absence of the deeds. At the same time it is possible that by some accident of fraud, the legal estate might get into the hands of a purchaser for value without notice, and if so the trustees would be ousted. Sir J. Romilly, M. R., observed, "I do not know that it has ever been determined, and I do not mean to express an opinion, that a trustee is ever justified in lending money on real security, *when he does not get the legal estate*" (*a*). [And in a recent case the late M. R. said that "it had never been decided that an investment upon equitable mortgage was unauthorised when there was a power to invest on real securities, because it had always been assumed to be the law of the Court without calling for a decision," and he acted upon that view (*b*).] There seems to be no objection to trustees investing upon a submortgage where they get the legal estate and are put in a position to exercise the powers arising under the original mortgage deed.¹

66. **Mixing trust-money in a mortgage.** — Of course trustees should not join with others in a mortgage, so as to *mix* up the trust fund with the rights of strangers; and still less could they take a joint mortgage in the name of a common trustee, for this would also be a delegation of their duty.

(*d*) 27 & 28 Vict. c. 114, s. 61.

[(*b*) *Swaffield v. Nelson*, W. N.

(*a*) *Norris v. Wright*, 14 Beav. 308; 1876, p. 255.]

and see cases cited p. 330, note (*a*).

¹ *Smethurst v. Hastings*, 52 L. T. N. S. 567; 33 W. R. 496; 30 Ch. D. 490.